

Crypto Custody and Compliance in Latin America

Guide

Practical insights for secure digital asset custody and regulatory compliance in Latin America.



Secure Custody

Institutional-grade asset protection



Regulatory Compliance

Stay aligned with evolving regulations



Local Market Expertise

Navigate diverse regulatory landscapes with confidence



Risk Management & Governance

Build robust controls and operational resilience



SECURE CUSTODY



REGULATORY COMPLIANCE



RISK MANAGEMENT



OPERATIONAL RESILIENCE



Secure Today. Compliant Tomorrow. Trusted Everywhere.

Compliance in LATAM: Stablecoin Operators & Custody

A practical reference for stablecoin issuers, PSAVs, and custody providers navigating six key LATAM markets, with custody frameworks, checklists, AML obligations, and enforcement timelines.

\$730B+

Crypto Volume 2025

LATAM total; +60% YoY. Stablecoins dominate remittance & inflation hedging.

90%

Brazil Stablecoin Share

~90% of crypto volume tied to stablecoins - highest in the region.

6

Markets Covered

Brazil · Mexico · Argentina · Chile · Colombia · El Salvador

2026

Brazil Deadline

Oct 30, 2026 - full SPSAV authorization required. Apply now.

Source:

Lemon, "State of the Crypto Industry 2025"

BCB (Gabriel Galípolo), Chainalysis LATAM Crypto Adoption 2025

About This Guide: 5 Dimensions of Custody Evaluation

Every LATAM market is assessed across five custody control dimensions - enabling operators to benchmark requirements and prioritize infrastructure investment.

Dimension	Brazil	Mexico	Argentina	Chile	Colombia	El Salvador
Key Control	MPC / HSM preferred	Principles-based	Secure system req.	Operator-level std.	No specific rule yet	Operator-level std.
Cold Storage	Risk-based; segregation	Security + recoverability	Risk-based	Guidance-based	No specific rule yet	Guidance-based
Asset Segregation	Mandatory individual accounts + distinct wallets	Required	Contable + operativa	Regulated	General consumer protection law applies	Regulated
Data Residency	BCB reporting	Local compliance	CNV reporting	CMF	SFC general oversight	CNAD
Audit Obligations	Monthly PoR + biennial independent	Auditable systems	Annual + monthly CNV	Periodic cybersecurity	None mandatory yet - Bill 510/2025 pending	Periodic cybersecurity

Cold storage note: Cold storage note: LATAM uses risk-based, segregation-focused standards - no fixed 80–98% offline threshold like APAC. Brazil & Argentina emphasize segregation + audit; Mexico is principles-based. Colombia has no custody- specific rule yet - general AML/consumer protection law applies pending Bill 510/2025.

Regional Framework: Six Markets, Six Compliance Realities

Market	Framework	Custody Requirements	Key Requirements	Status
Brazil	BCB Res. 519- 521 (eff. Feb 2026)	Mandatory segregation; monthly PoR; biennial audit; MPC/HSM	SPSAV license; capital BRL 10.8M-37.2M; no algo stablecoins; governance per Res. 552-553 (ouvidoria, internal audit, compliance, cybersecurity, accounting per Cosif + IFRS)	Critical - Oct 30, 2026
Mexico	Fintech Law 2018 + Banxico Circular 4/2019	Principles-based: segregation, security, auditability	Authorization required; strong AML to UIF	High enforcement
Argentina	CNV Res. 1058/2025	Segregation (contable + operativa); secure custody	PSAV registration; net worth USD 35k-150k; AML to UIF	High adoption
Chile	Ley 21.521 Fintech (2023) + CMF	Custody of financial instruments; operator-level standards	PSFT registration; KYC/AML; cybersecurity audits	Medium - OECD CARF 2027
Colombia	SFC Sandbox + general AML laws	General laws apply; no specific custody rules yet	No mandatory PSAV license; AML & consumer protection	Watch - Bill 510/2025
El Salvador	LEAD 2023 (reformed 2025) + CNAD	AML/KYC mandatory; custody under DASP rules	DASP or BSP license; stablecoin issuance rules	Most business-friendly

Compliance Cost & Price of Non- Compliance

Why Compliance Investment Pays Off

- Avoid banking access blockage - top operational risk in LATAM
- Prevent license revocation during enforcement waves
- Maintain correspondent banking relationships
- Build institutional trust for fiat on/off-ramps

Cost of Non-Compliance: Real Examples

Risk Type	Consequence
Banking Blockage	Loss of fiat rails; operational shutdown
License Revocation	Market exit; asset freeze
Regulatory Fines	Up to 2–5% of annual revenue (varies)
Reputational Damage	Loss of institutional partners & users



Brazil Deadline - Oct 30, 2026: Existing operators must apply before the deadline. No new services permitted during authorization review. Late applications risk forced shutdown.

Case Study: The Brazil Deadline Lesson

"How to Avoid Operational Shutdown?" — Brazil's Oct 30, 2026 deadline is the most time-sensitive compliance event in LATAM crypto. Operators who delay risk forced exit.

1

Act Now

Submit SPSAV authorization application to BCB immediately. Do not wait.

2

Freeze Scope

No new services or products during authorization review period.

3

Build Infrastructure

Segregation, MPC/HSM, monthly PoR, biennial audit - deploy before deadline.

4

Maintain Operations

Existing services continue under transitional rules, but compliance gaps = enforcement risk.

⊗ **Foreign VASPs:** If you operate outside Brazil, you must migrate all operations and client accounts to a Brazilian SPSAV-licensed entity or authorized institution before October 30, 2026. Failure to migrate results in forced operational shutdown.

Brazil: The LATAM Compliance Standard

Framework: **BCB Resolutions 519, 520, 521 (effective Feb 2, 2026)**. Most comprehensive in LATAM - integrates stablecoins into FX regime with hard authorization deadline.

Why Brazil Sets the Standard

- Most comprehensive SPSAV framework in LATAM
- Hard deadline: **Oct 30, 2026**
- Stablecoins integrated into FX regime (Res. 521)
- Mandatory segregation + monthly PoR + biennial audit
- No algorithmic stablecoins permitted

Key Requirements at a Glance

- Full SPSAV authorization (Intermediary / Custodian / Broker)
- Min. capital: BRL 10.8M–37.2M
- Individual client accounts + distinct VA wallets
- Monthly Proof of Reserves
- Biennial independent audit
- Travel Rule: domestic first, international by 2028

Governance & Controls (Res. 552–553, eff. Mar 2026)

Mandatory governance framework including ouvidoria (ombudsman), internal audit, compliance policy, cybersecurity standards, fraud prevention, remuneration policy, and accounting per Cosif + IFRS standards. These requirements apply to all SPSAV licensees.

Brazil: Custody Checklist (01–08)

1

Obtain BCB SPSAV Authorization

Apply before serving Brazilian users. Categories: Intermediary, Custodian, Broker.

2

Implement Asset Segregation

Individual BRL accounts + distinct VA wallets per client. Non-negotiable.

3

Deploy MPC / HSM Key Management

Threshold signing or HSM-based custody preferred by BCB standards.

4

Monthly Proof of Reserves

Publish monthly PoR; engage independent auditor for biennial review.

5

Cybersecurity & Internal Controls

Align with BCB cybersecurity standards; incident response required.

6

Travel Rule Tooling

Phased implementation: Phase 1 (Feb 2026–Feb 2027) domestic only; Phase 2 (Feb 2027–Feb 2028) cross-border. Self-declaration permitted during transition.

7

No Algorithmic Stablecoins

Ensure no algo stablecoins are offered or listed on Brazilian platforms.

8

FX Reporting (Res. 521)

Prepare for cross-border stablecoin flow reporting under FX regime.

Argentina & Mexico: High-Enforcement Markets

CNV Resolución General 1058/2025

- Register as PSAV with CNV
- Min. net worth: USD 35k–150k
- Segregation: contable + operativa
- Secure custody system (integrity + availability)
- Cybersecurity policies mandatory
- AML reporting to UIF
- Travel Rule: transitional phase
- Annual compliance audit + monthly CNV reporting
- Tax Incentive (Decreto 475/2026, eff. 06/2026): Exemption from impuesto al cheque (bank debit/credit tax) on dedicated crypto accounts for registered PSAVs — significant operational cost savings.

Fintech Law 2018 + Banxico Circular 4/2019

- Authorization required for regulated entities
- Principles-based custody: segregation, security, auditability, recoverability
- Strong AML reporting to UIF mandatory
- Increasing regulatory scrutiny on PSAVs
- No fixed custody % - operator-level risk assessment
- High enforcement; restrictive licensing environment

- 📄 Mexico's principles-based approach requires operators to document and justify custody architecture independently.

Source: Boletín Oficial, Resolución 1058/2025

Chile, Colombia & El Salvador



Chile - Ley 21.521 Fintech

- PSFT registration with CMF
- Custody of financial instruments regulated
- KYC/AML + periodic cybersecurity audits
- Aligning with OECD CARF 2027



Colombia - SFC Sandbox

- No mandatory PSAV licensing yet
- General AML & consumer protection laws apply
- Bill 510/2025 pending, watch for changes
- Best for early market entry with minimal friction



El Salvador - LEAD 2023 (reformed 2025) + CNAD

- DASP or BSP license from CNAD
- Most business-friendly for stablecoin issuance
- AML/KYC mandatory under DASP rules
- Reformed 2025 - updated issuance rules
- Over 70 DASP licenses issued by early 2026
- Emerging as LATAM's leading hub for stablecoin issuance and tokenized assets

AML & Travel Rule: LATAM-Wide Obligations

Travel Rule by Market

Travel Rule by Market

Market	Travel Rule Status
Brazil	Domestic first (no threshold); international by 2028
Argentina	Transitional phase; UIF alignment
Mexico	FATF-aligned; strong UIF reporting
Chile	FATF-aligned; OECD CARF 2027
El Salvador	AML/KYC mandatory under CNAD

Core AML Requirements (All Markets)

- **Sanctions Screening:** OFAC + local lists mandatory
- **Local Compliance Officer:** Required in most markets
- **CTR / STR Reporting:** Threshold-based reporting to UIF or equivalent
- **KYC Onboarding:** Enhanced due diligence for high-risk users
- **Transaction Monitoring:** Real-time or near-real-time surveillance

 **Note on other LATAM markets:** Bolivia, Peru, and Venezuela maintain restrictive or undefined crypto frameworks. Operators should monitor for regulatory evolution before market entry.



Your custody infrastructure partner

Fystack provides self-hosted custody infrastructure for enterprise teams. We enable financial institutions, CEXs, and OTC desks to deploy compliant, robust, and sovereign cryptographic custody systems fully localized onshore

12+ Chains

MULTICHAIN INDEXING

< 1ms

ADDRESS LOOKUP SPEED

Flat Rate

FIXED PRICING MODEL

ENTERPRISE PARTNER

Why Choose Fystack

We solve the core operational and compliance challenges faced by fintechs, exchanges, and OTC desks expanding across LATAM's fragmented regulatory landscape.

100%

ONSHORE DATA COMPLIANCE

Zero

SINGLE POINTS OF FAILURE

Open

SOURCE CUSTODY CORE

1. Multi-Jurisdiction Data Residency Compliance

Self-Hosted, Local Control: Fystack is designed to run self-hosted on your own infrastructure or in-region cloud, satisfying data residency and reporting obligations under frameworks like BCB Resolutions 519–521 (Brazil), CNV Res. 1058/2025 (Argentina), and CNAD (El Salvador).

All key shares, signing logs, and user metadata stay under your control, in your jurisdiction.

2. Enterprise-Grade MPC Cryptography

Threshold Signature Schemes: Eliminate single points of failure with multi-party signature protocols (2-of-3 or 3-of-5). Private keys are never assembled in a single location, rendering remote key extraction impossible.

3. Auditability & Compliance Tooling

Open-Source Transparency: Built on our vetted open-source libraries `mpcium` and `multichain-indexer` for clear audit trails during regulatory reviews.

Webacy-Powered Screening: Features a compliance address analysis dashboard integrating Webacy's risk API to automatically isolate illicit wallets - supporting AML/CFT obligations across all six markets.

Self-Hosted Control vs. SaaS Lock-In

A head-to-head comparison of self-hosted infrastructure ownership against standard vendor-managed cloud custody.

FEATURE / STANDARD	FYSTACK (SELF-HOSTED)	TRADITIONAL SAAS CUSTODY
Data Residency	Full Data Sovereignty	Offshore Cloud Storage (regulatory risk under BCB/CNV/CNAD frameworks)
Cryptographic Control	Full Cryptography Ownership	Vendor Lock-In (Proprietary SaaS)
Pricing Structure	Flat Subscription Rate	Volume-based Fees (Charges rise with usage)
Local Auditing	Onshore Logs & Raw Database	API-Only Logs (No physical database access)

The Ultimate Decision: Sovereign Ownership

- **Freedom of Cryptography:** Fystack ensures you retain the keys, the database, and the infrastructure. Your business is never exposed to service halts, sudden fee increases, or data residency violations from overseas third-party SaaS vendors - critical as regulators like BCB (Brazil) and CNV (Argentina) increasingly require local control and full auditability.

Custody infrastructure built for regulated markets?



Fystack provides self-hosted custody infrastructure — MPC key management deployed on your own servers, across 12+ chains. Built for fintechs, payment companies, and neobanks across emerging markets.

